TESSELLATE MATERIALS, INC. · THIRD QUARTER 2026

Quarterly report to the Board

PREPARED FOR
Board of Directors

PREPARED BY
Office of the CFO

DATE
October 12, 2026

REFERENCE
BR-2026-01

1. Executive summary

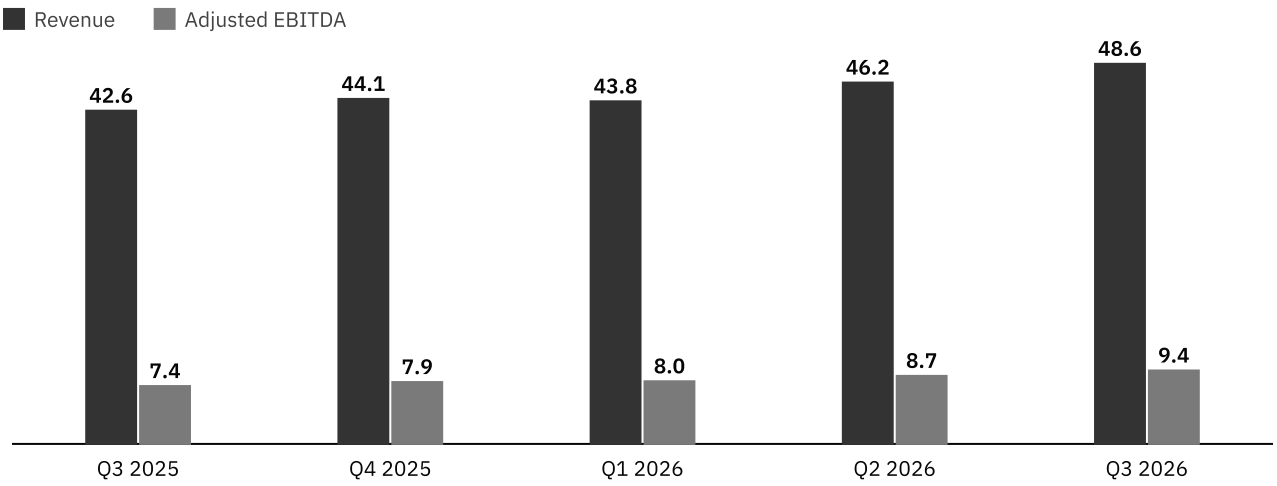
Revenue grew 14% year over year to $48.6 million, ahead of plan for the third consecutive quarter, driven by architectural glazing and the first full quarter of the Monterrey line. Adjusted EBITDA margin widened by 2.1 points to 19.4% as freight costs eased and the energy hedge took effect.

Cash conversion remains the one weak spot: inventory rose by 11 days ahead of the Q4 project season. We expect it to normalise by year end and propose no change to the capital plan.

REVENUE	ADJUSTED EBITDA	FREE CASH FLOW	ORDER BACKLOG
$48.6M	**$9.4M**	**$3.1M**	**$112M**
+14% year over year	19.4% margin, +2.1 pts	−$1.2M vs Q2	6.8 months of revenue

2. Financial performance

REVENUE AND ADJUSTED EBITDA, $ MILLION



Five quarters to 30 September 2026, unaudited.

Revenue by segment, $ million, third quarter 2026

SEGMENT	REVENUE	GROWTH Y/Y	EBITDA MARGIN
Architectural glazing Two airport contracts delivered	21.4	19.2%	22.8%
Industrial composites Monterrey line at 82% utilisation	14.9	8.1%	17.5%
Acoustic panels	8.2	12.6%	16.1%
Services and retrofit Framework renewals with three councils	4.1	9.4%	24.3%
Total	**48.6**		

3. Operations and people

The Monterrey line reached 82% utilisation in September, against 74% planned, and scrap fell to 3.1% from 4.6% in Q2. Lost-time injuries: none for the second quarter running. The Reno warehouse consolidation is on schedule for completion in November and will release $0.6 million a year in rent.

We hired 38 people in the quarter, 21 of them on the Monterrey line; voluntary turnover was 2.4%.

REVENUE BY CHANNEL, SHARE OF TOTAL



4. Risks and outlook

Principal risks

RISK	LIKELIHOOD	IMPACT	MITIGATION
Float glass supply	Medium	High	Second supplier qualified; 9 weeks of stock
Energy prices from 2027	Medium	Medium	62% of 2027 volume hedged
Project timing in Q4	High	Low	Backlog covers the plan 1.4 times
Key-person dependency in R&D	Low	High	Deputy appointed; retention plan agreed

We reaffirm full-year guidance of $186–190 million revenue and 18.5–19% adjusted EBITDA margin. The fourth quarter carries the usual project weighting; the backlog and the September run rate support the upper half of the range.

DECISION REQUESTED

Approve the $4.2 million investment in a second tempering furnace at Monterrey, with commissioning in Q2 2027 and a payback of 3.1 years at the current order mix.